2. Both Houses of the British Parliament have presented an address to His Majesty praying that such a Proclamation may be issued. It is further provided that before the first Federal Ministry comes into being, a Federal Reserve Bank,[1] free from political influence, will have been set up by Indian legislation and be already successfully operating.

The White Paper also states that 'it is probable that it will be found convenient or even necessary that the new Provincial Government should be brought into being in advance of the changes in the Central Government and the entry of the States'. It is, therefore, clear that the inauguration of the Federation may be indefinitely postponed even after the new Constitution Act is passed by the British Parliament.

The idea of bringing in the Princes into the constitutional machinery is to provide a Conservative element in the Federal Legislature, which will counteract the radical forces in British India. With this object in view, while the representatives from British India in the Federal Legislature will be returned through a direct (or indirect) election[2] with the help of a popular franchise, however restricted, the representatives from the States will be nominated by the Indian Rulers. The subjects of the Indian States comprising about one-fourth of the total population of India[3] will have no representation whatsoever in the Federal Parliament. The support of the Indian Rulers (or their nominees) to the British Government in the working of the Federal Constitution will be secured because the British Government in its turn undertakes not to interfere in the internal autocratic administration of the Indian States. Thus, if the Federation is ultimately set up according to the White Paper proposal, the Princes will retain their sovereignty over their internal affairs and will have a further hand in working the Federal machinery. There will be no provision in the new Constitution for a democratic or popular or con-

[1] The Reserve Bank Bill has been already passed by the Indian Legislative Assembly.

[2] The White Paper recommended direct election in the case of the Federal Assembly (Lower House) and indirect election in the case of Council of State (Upper House). The Joint Parliamentary Committee however have recommended indirect election in both cases.

[3] In the 1931 census the total population of India including Burma is about 352 millions. British India excluding Burma has a population of about 257 millions. The total population of the Indian States is about 81 millions.